

August 18, 2026 04:24 PM GMT

Shanghai BOCHU Electronic Technology | Asia Pacific

2Q26 earnings call takeaways - Full-year guidance unchanged

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	In-line Financial results versus consensus	Largely unchanged Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Key Takeaways

- Management maintains its 20% y-y revenue growth target in 2026...
- ... with revenue from cutting products up 20% y-y, welding sales at 2,500 units, and precision application revenue at Rmb70mn.
- Overseas demand in 2Q improved q-q. In July, the downstream demand overall was largely in-line with 2Q momentum.
- The cutting market share is at ~70% currently, and Bochu aims to become a solution provider in the long run, integrating cutting and welding process know-how.
- Management expects the delivery for the Huzhou shipbuilding project to start in 2027, with increasing cooperation with shipbuilding clients near the Yangtze River.

1H26 sales by segment:

- Welding MCS shipped 1k+ units with Rmb60bn revenue; 80% of volume was for steel structures and 20% for shipbuilding and power projects. 30% of welding units was for export. The welding customer numbers increased to 200+ with repurchase ratio at 80%+ in 2026.
- The precision application segment generated Rmb20mn revenue in 1H26.
- By region, total overseas demand (incl. indirect) grew ~10% y-y in 1H26. ~50% of planar solution sales (mainly low-mid power) was from overseas demand.
- Management noted demand emerging for total line solutions in the shipbuilding industry this year, as well as for construction machinery. Single project value is >Rmb100mn.

GPM contraction on product mix and rising cost. 2Q26 GPM declined 6.2ppt and 1.0ppt q-q to 73.5%, attributable to: 1) Product mix - higher revenue contribution from cutting heads, welding business and precision applications. In 1H26, the cutting head matching ratio in planar and pipe solutions increased to 70% and 50-60%, respectively. 2) Rising materials cost, esp. memory chips, electronic components for perception. Bochu therefore increased inventory of raw materials.

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Shanghai BOCHU Electronic Technology (688188.SS, 688188.CG)

China Industrials | China

Stock Rating	Overweight
Industry View	In-Line
Price target	Rmb122.00
Up/downside to price target (%)	14
Shr price, close (Aug 18, 2026)	Rmb107.15
52-Week Range	Rmb128.41-88.50
Sh out, dil, curr (mn)	288
Mkt cap, curr (mn)	Rmb30,819.9
EV, curr (mn)	Rmb28,694.0
Avg daily trading value (mn)	Rmb354

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	3.87	3.40	4.08	4.83
EPS (Rmb)§	4.02	3.38	4.13	5.16
Revenue, net (Rmb mn)	2,196	2,738	3,373	4,087
EBITDA (Rmb mn)	1,127	1,405	1,701	2,025
ModelWare net inc (Rmb mn)	1,113	1,370	1,643	1,944
P/E	25.1	31.5	26.3	22.2
P/BV	4.6	6.6	6.1	5.6
RNOA (%)	28.7	29.4	35.9	43.1
ROE (%)	20.4	22.6	25.2	27.5
EV/EBITDA	22.9	20.1	16.3	13.3
Div yld (%)	2.3	2.1	2.6	3.0
FCF yld ratio (%)**	4.2	3.2	3.9	4.6
Leverage (EOP) (%)	(35.7)	(40.3)	(45.3)	(50.2)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Exhibit 1: 2Q26/1H26 results summary

Rmb mn	2Q25	3Q25	4Q25	1Q26	2Q26	2Q26 YoY	2Q26 QoQ	1H25	2H25	1H26	1H26 YoY
Revenue	608	516	576	548	730	20%	33%	1,103	1,092	1,278	16%
--Planor (平面解决方案)								677	616	707	4%
--Pipe (管材解决方案)								237	251	280	18%
--Three-dimensional (三维解决方案)								34	30	35	3%
--Others								155	167	256	65%
COGS	123	121	136	140	194	57%	39%	234	257	333	43%
Gross Profit	484	395	440	408	537	11%	31%	870	835	945	9%
Sales taxes and extra charges	7	7	8	6	8	16%	44%	14	15	14	3%
Selling expense	26	30	54	26	32	20%	22%	52	85	57	10%
Administrative expense	32	35	59	32	40	25%	25%	61	95	71	17%
R&D expense	57	63	160	63	70	23%	12%	118	223	132	12%
Operating profit	363	260	158	282	387	7%	37%	624	419	669	7%
Financial expense	4	17	6	23	51	1245%	121%	10	23	74	668%
Investment income	7	5	3	6	7	12%	18%	14	8	14	1%
Asset impairment loss	-	-	(17)	-	-	n.a.	n.a.	-	(17)	-	n.a.
Credit impairment loss	(3)	1	(2)	0	(5)	62%	n.a.	(3)	(1)	(5)	82%
Non-operating income	0	0	0	0	0	46%	67%	0	0	0	38%
Other non-operating income	48	2	53	43	49	2%	13%	69	55	92	33%
Profit before income tax	430	294	215	371	514	19%	39%	735	509	884	20%
Income tax expense	32	25	11	51	40	24%	-22%	78	36	91	17%
Net profit after tax	398	269	204	319	474	19%	48%	657	474	793	21%
Minority interest	13	5	(4)	3	3	-80%	-11%	17	1	6	-66%
Profit attributable to equity holders	385	264	208	316	471	22%	49%	640	472	787	23%
Margins											
Gross Margin	79.7%	76.5%	76.4%	74.5%	73.5%	-6.2%	-1.0%	78.8%	76.5%	73.9%	-4.9%
--Planor (平面解决方案)								82.1%	80.9%	79.7%	-2.4%
--Pipe (管材解决方案)								85.5%	83.3%	82.3%	-3.2%
--Three-dimensional (三维解决方案)								85.0%	79.9%	79.1%	-5.9%
--Others								52.9%	52.4%	48.2%	-4.7%
Sales taxes and extra charges	1.2%	1.3%	1.3%	1.1%	1.2%	0.0%	0.1%	1.3%	1.3%	1.1%	-0.1%
Selling expense	4.3%	5.8%	9.4%	4.7%	4.3%	0.0%	-0.4%	4.7%	7.7%	4.5%	-0.3%
Administrative expense	5.2%	6.8%	10.3%	5.8%	5.4%	0.2%	-0.4%	5.5%	8.7%	5.6%	0.0%
R&D expense	9.3%	12.1%	27.8%	11.4%	9.6%	0.3%	-1.9%	10.7%	20.4%	10.4%	-0.4%
OP Margin	59.7%	50.4%	27.5%	51.5%	53.0%	-6.7%	1.5%	56.6%	38.3%	52.4%	-4.2%
Tax Rate	7.5%	8.6%	4.9%	13.8%	7.8%	0.3%	-6.0%	10.6%	7.0%	10.3%	-0.3%
Net Margin	63.3%	51.2%	36.1%	57.7%	64.5%	1.1%	6.7%	58.0%	43.2%	61.6%	3.6%

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Shanghai BOCHU Electronic Technology (688188.SS)

Base case, derived from P/E methodology. Our target multiple is 30x 2027e P/E, given Bochu's dominant position in laser cutting motion control system, but still below its 5-year historical average FY2 P/E of 36x due to our expectation of slower revenue growth in 2026-27.

Risks to Upside

- Better-than-expected market share gains in high-power MCS market.
- Faster-than-expected market expansion in welding MCS market.

Risks to Downside

- Narrowing demand for low- to mid-power equipment.
- Margin pressure from intensified competition in the low- to mid-power market.
- Unfavorable product mix.

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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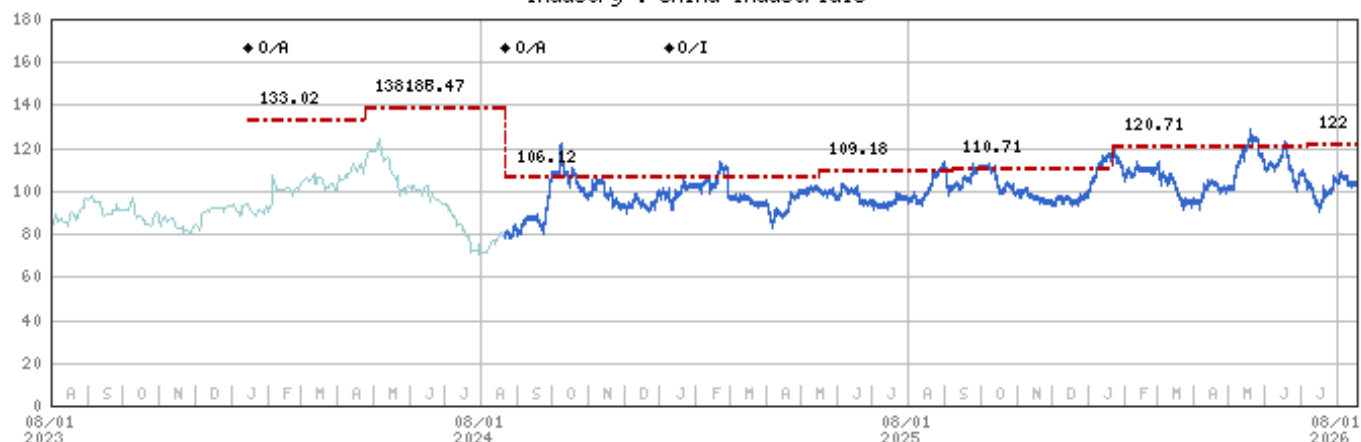
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Stock Price, Price Target and Rating History (See Rating Definitions)

Shanghai BOCHU Electronic Technology (688188.SS) - As of 08/18/26 GMT in CNY
Industry : China Industrials



Stock Rating History: 1/16/24 : 0/A; 8/22/24 : 0/A; 1/8/25 : 0/I

Price Target History: 1/16/24 : 133.02; 4/24/24 : 138.85; 5/20/24 : 138.47; 8/22/24 : 106.12; 5/16/25 : 109.18; 9/7/25 : 110.71; 1/22/26 : 120.71; 7/7/26 : 122

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INDUSTRY COVERAGE: China Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/18/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.34
China Railway Group (0390.HK)	E (08/11/2025)	HK\$3.37
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.36
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb98.00
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb15.68
iRay Technology Company Limited (688301.SS)	O (07/07/2026)	Rmb100.30
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb53.14
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb107.15
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb57.57
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK\$10.67
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb15.22
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK\$5.02
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb6.04
DR Laser (300776.SZ)	E (12/17/2021)	Rmb130.10
Estun Automation Co Ltd (002747.SZ)	U (06/30/2022)	Rmb40.04
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK\$20.44
Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb35.84
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb13.88
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb107.99
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb46.15
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb380.80
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb18.97
Shenzhen Inovance Technology (300124.SZ)	++	Rmb62.18
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb65.20
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK\$39.48
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb212.50
Times Electric (3898.HK)	E (01/22/2026)	HK\$35.16

WeiChai Power (2338.HK)	O (03/30/2026)	HK\$35.30
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb30.51
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb44.25
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb35.24
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb56.56
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb25.10
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb39.91
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK\$7.00
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb6.93

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